

In addition to banks and other banking financial institutions, fixed deposit accounts can be opened with housing loan financial institutions and corporations. These may offer you a higher interest rate than traditional FDs. However, it should be noted that the terms might be different with corporations. So it is important to read their terms before opting for corporate fixed deposits.

9. Nominations facilities available

Since the fixed deposit is an investment scheme, nomination facilities are available to make sure your money will reach your loved ones even if something happens to you.

10. Look for special interest rates

Most banks offer special interest rates on fixed deposits for special "odd" periods of deposits for multiple reasons. As an example, it is common to see an 8% interest on a 1 year or a 2 year deposit scheme but the bank may also give you a 9% rate on a 375 or a 380 day deposit. You should cash in on such opportunities. In fact most of my money locked in FDs is under such special schemes, which are easily available on line.

The reason for such special rates is not difficult to understand. We all know that the bank loans our money out at a higher rate of interest than what they pay us. If a bank wants to loan our money to its own customers for a one year period and is short of funds, it would encourage you to lock the money in bank FDs by providing you a higher interest rate and would take an additional 15-20 days for its loan reimbursement and collection procedures. This is a golden opportunity for someone who is trying to build wealth as none of us would mind keeping the money in the bank for additional 15 to 20 days if it provides us a 1% higher rate of interest on the entire tenure of investment.

Most financial analysts term fixed deposits as an "inefficient" way to invest your money, and I agree that there are inherent disadvantages in putting all your investible surplus money in fixed deposit schemes, though it can be a good starting point.